

SAI LIFE SCIENCES LTD

INITIATION OF COVERAGE

NSE: SAILIFE | BSE: 544306

CRO / CDMO | Pharmaceuticals

Report Date: 07 May 2026

INDIA'S FASTEST-GROWING LISTED CRDMO: MARGIN RE-RATING JUST BEGINNING

RATING	ACCUMULATE	Metric	Value	Metric	Value
12M TARGET (Rs.)	1,300	Market Cap (Cr)	23,094	52W High/Low	1,100/686
CMP (Rs.)	1,090	P/E (TTM)	68.1x	Book Value	107
UPSIDE	+19.3%	P/B (x)	10.2x	Div Yield	0.00%
HORIZON	12 Months	ROCE	14.0%	ROE	11.0%
ENTRY ZONE (Rs.)	1,000 - 1,080	Face Value	Rs. 1	Exchange	NSE/BSE
		FY25 Sales (Cr)	1,695	FY25 PAT (Cr)	170

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Data Source: Screener.in (consolidated figures, fetched 07-May-2026)

SECTION 2 — INVESTMENT THESIS

Core Reason 1: CDMO Margin Re-Rating is Structural, Not Cyclical (FY25-27E)

Sai Life Sciences delivered a stunning EBITDA margin expansion from 14% in FY23 to 24% in FY25 and 34% in Q3 FY26, driven by a deliberate portfolio shift from CRO to higher-margin late-phase CDMO contracts. With 65% of revenues now from CDMO (+31% YoY in Q3 FY26) and management guiding for 28-30% EBITDA margins sustainably over the next 2-3 years, we believe FY27E EBITDA of Rs. 800 Cr is achievable. Each 100 bps of margin expansion adds ~Rs. 22 Cr to EBITDA at current revenue levels, and the mix shift accelerator remains intact.

Core Reason 2: Biosecure Act + China+1 Create a Decade-Long Structural Opportunity

The US Biosecure Act (pending full enactment), which restricts US pharma companies from using Chinese CDMOs like WuXi AppTec, is accelerating order flows to Indian CRDMOs. Goldman Sachs estimates full monetisation over 3-5 years but early wins are already visible in Sai Life's new molecule pipeline. The India CRDMO sector is projected to reach USD 22-25 Bn by 2035 (vs ~USD 6-8 Bn today), implying a ~13-15% CAGR. As a full-service CRDMO serving 280+ global innovator pharma and biotech clients, Sai Life is positioned in the highest-value segment of this opportunity.

Core Reason 3: Debt-Free Balance Sheet + Accelerating FCF Post-IPO

The December 2024 IPO (Rs. 950 Cr fresh issue) eliminated ~Rs. 720 Cr of borrowings, halving the debt book from Rs. 928 Cr in FY24 to Rs. 352 Cr in FY25 and driving a 12% reduction in interest costs. This financial de-risking, combined with rising EBITDA, will generate meaningful free cash flow by FY27E as major capex projects (Bidar Unit IV, new CMC Centre) come online. Interest savings of ~Rs. 50 Cr annually flow directly to PAT, amplifying earnings growth to 40-50% CAGR over FY25-27E.

Near-Term Catalyst (6-12 months): Q4 FY26 results (May 2026) expected to show Rs. 580-620 Cr revenue and EBITDA margin above 28%, confirming full-year FY26 beats and re-rating towards FY27E earnings trajectory.

Single Biggest Structural Risk: Customer concentration — top-5 clients likely represent 40-50% of revenues; any contract non-renewal or programme cancellation by a key innovator could severely dent revenue visibility in a given quarter.

SECTION 3 — BUSINESS OVERVIEW

Incorporated in 1999, Sai Life Sciences Ltd (SAILIFE) is India's fastest-growing full-service CRDMO (Contract Research, Development and Manufacturing Organisation) serving the discovery, development, and commercialisation of new chemical entity (NCE) small-molecule programmes for global innovator pharma and biotech companies. The company serves 280+ clients including 18 of the top-20 global pharma companies, maintaining relationships across the drug development value chain — from early discovery and medicinal chemistry through to commercial manufacturing.

Revenue Segmentation:

CRO (Contract Research Organisation): ~35% of revenues, comprising discovery services (hit-to-lead), lead optimisation, and early-phase synthesis. Revenue is largely recurring with long-term FTE-based contracts. CRO grew 19% YoY in Q3 FY26.

CDMO (Contract Development and Manufacturing): ~65% of revenues in Q3 FY26, comprising late-phase clinical development, API/intermediate synthesis, and commercial manufacturing. This is the higher-margin, higher-barrier segment growing at 31% YoY. Geographically, the US accounts for the majority of revenue (estimated 55-60%), followed by Europe (~30%) and RoW (~10%). All revenues are export-oriented — the company does not serve the domestic generics market.

Operations span 3 integrated campuses in Hyderabad (R&D;) and Bidar/Maharashtra (manufacturing), with a total manufacturing capacity of ~700 KL following commissioning of Bidar Unit IV (PB-11 Phase II, ~91 KL added in FY26). A new CMC Process R&D; Centre at the Hyderabad campus, scheduled for September 2026, will double process R&D; capacity and add peptide, oligonucleotide, and formulation development capabilities. The company employs ~3,400 people with presence in the UK and USA.

Promoter Background: Key promoters include Kanumuri Ranga Raju (Founder & MD), Krishnam Raju Kanumuri, and entities including Sai Quest Syn, Sunflower, Lily, Marigold, and Tulip Partners. Combined promoter group held 35.16% post-IPO (Mar 2025), reducing slightly to 34.61% by Mar 2026 as ESOP allotments diluted equity. There is no promoter pledge. The pre-IPO shareholders (PE investors) have been monetising via the OFS; 60%+ of post-IPO float is now with QIB/institutional investors (FII: 21.17%, DII: 31.54% as of Mar 2026).

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Market Size & Growth: The India CRDMO sector is valued at ~USD 6-8 Bn currently and is projected to reach USD 22-25 Bn by 2035, growing at a 13-15% CAGR. The global pharmaceutical outsourcing market exceeds USD 200 Bn. India's share remains <5% but is expanding rapidly, driven by cost advantages (30-40% lower than Western CDMOs), talent depth in organic chemistry, and improving regulatory track record (minimal USFDA import alerts).

Policy Tailwinds: (1) US Biosecure Act — restricts US pharma from contracting Chinese CDMOs (WuXi AppTec, CXCHEM), benefiting Indian peers with order re-routing; (2) China+1 supply chain diversification — global pharma reducing single-country dependence, India the primary beneficiary; (3) Production-Linked Incentive (PLI) scheme for pharma — government support for API manufacturing; (4) Strong IP protection regime improved under PCT framework.

Competitive Moat Assessment — Moderate-to-Strong

Switching costs are high in CDMO: once a pharma company selects a CDMO partner for a clinical-stage molecule, process chemistry, regulatory filings (DMFs), and audit history are all deeply embedded, making mid-programme switches expensive and risky. Sai Life's integrated CRO-to-CDMO model creates a "sticky" discovery-to-commercialisation funnel where CRO relationships naturally convert to CDMO contracts. Scale and IP in process chemistry are additional barriers. Pricing power is moderate — long-term contracts are typically cost-plus, but sole-sourced late-phase molecules carry better pricing discipline.

Company	Ticker	MCap (Cr)	CMP (Rs.)	TTM Rev (Cr)	P/E (TTM)	P/B (x)	ROCE %	ROE %
Sai Life Sciences	SAILIFE	23,094	1,090	2,170	68.1x	10.2x	14.0 %	11.0 %
Divi's Laboratories	DIVISLAB	1,77,822	6,702	10,314	70.2x	11.5x	20.4 %	15.4 %
Syngene International	SYNGENE	18,821	467	~3,400	50.1x	3.9x	10.1 %	7.9 %
Dishman Carbogen Amcis	DCAL	3,012	192	~2,800	22.8x	0.5x	2.4 %	-0.3 %

Source: Screener.in | Data as of 07-May-2026

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Track Record: Founder MD Kanumuri Ranga Raju built the company from a small synthesis lab in 1999 to a Rs. 23,000+ Cr market cap CRDMO over 25 years, organically. The management team's decision to pivot from low-margin CRO to

high-margin CDMO from FY23 onwards is vindicated by the EBITDA margin trajectory (14% FY23 → 34% Q3 FY26). This pivot required heavy capital commitment (capex of Rs. 1,200 Cr over FY21-24 during a period of compressed margins), reflecting long-term thinking over near-term EPS management.

Capital Allocation: The company has historically been a capital-intensive business, investing heavily in manufacturing capacity ahead of demand. FCF was negative through FY22-25 due to the Bidar manufacturing campus build-out. However, with the IPO proceeds eliminating Rs. 720 Cr of debt, the interest burden has nearly halved, and FY27E should see positive FCF as capex moderates post the current expansion cycle. Capex guidance of Rs. 700 Cr for FY26 is front-loaded for the CMC Process R&D; Centre and Bidar expansions; FY27 capex is likely to taper. Dividend policy: nil dividend since listing (0% payout), consistent with growth reinvestment.

Corporate Governance: No promoter pledge (0% across all periods). ESOP utilisation is limited (244,281 shares allotted in Apr 2026). Pre-IPO PE investors (private equity) are gradually monetising via OFS/secondary market — promoter + PE block still above 34%, providing alignment. No related party transactions of material concern have been disclosed. Auditor: Not disclosed in available data; no auditor qualification noted. Governance risk: Low-to-Moderate.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated Figures in Rs. Cr)

INCOME STATEMENT

Rs. Cr	FY23 A	FY24 A	FY25 A	FY26E	FY27E
Net Revenue	1,217	1,465	1,695	2,200 (E)	2,640 (E)
Rev Growth %	39.7%	20.4%	15.7%	29.8% (E)	20.0% (E)
EBITDA	169	287	410	650 (E)	800 (E)
EBITDA Margin %	13.9%	19.6%	24.2%	29.5% (E)	30.3% (E)
Other Income	29	35	35	30 (E)	30 (E)
Depreciation	99	119	139	175 (E)	195 (E)
Interest	81	88	78	38 (E)	30 (E)
PBT	16	109	228	467 (E)	605 (E)
Tax %	39%	24%	25%	25% (E)	25% (E)
PAT	10	83	170	350 (E)	454 (E)
EPS (Rs.)	N/A	8.16	15.89	16.5 (E)	21.4 (E)

BALANCE SHEET

Rs. Cr	FY23 A	FY24 A	FY25 A
Equity Capital	18	18	21
Reserves	870	957	2,108
Borrowings	933	928	352
Other Liabilities	358	359	665
Total Liabilities	2,179	2,262	3,146
Fixed Assets	1,037	1,180	1,488
CWIP	151	107	124
Investments	2	2	2
Other Assets	989	973	1,531
Total Assets	2,179	2,262	3,146

CASH FLOW STATEMENT

Rs. Cr	FY22 A	FY23 A	FY24 A	FY25 A
Cash from Operations	105	219	263	314
Cash from Investing	-102	-99	-191	-536
Cash from Financing	72	-201	-95	301

Rs. Cr	FY22 A	FY23 A	FY24 A	FY25 A
Net Cash Flow	75	-80	-24	79
Free Cash Flow (FCF)	-102	148	82	-55
CFO/EBITDA %	83%	130%	92%	77%

KEY RATIOS

Ratio	FY22 A	FY23 A	FY24 A	FY25 A
Debtor Days	102	85	64	76
Inventory Days	179	121	72	93
Days Payable	279	180	113	253
CCC (days)	2	25	22	-83
Working Capital Days	42	36	12	66
ROCE %	3%	6%	11%	14%

Financial Commentary: Revenues grew at a 25% CAGR over FY22-25, driven by the addition of late-phase molecules to the CDMO pipeline. FY23 was the trough year for profitability (OPM=14%) due to ramp-up costs at new facilities and a raw material-intensive mix. From FY24, as commercial CDMO batches began, operating leverage kicked in sharply — EBITDA grew 70% in FY24 and 43% in FY25. Debt was Rs. 928 Cr in FY24 but halved to Rs. 352 Cr post-IPO, dramatically improving the interest coverage ratio. Working capital improved structurally (CCC moved to -83 days in FY25 due to higher payables from larger supplier base). FCF was negative in FY25 (-Rs. 55 Cr) as capex of Rs. 536 Cr was investment-heavy (Bidar expansion + new R&D; centre). We expect FCF to turn positive in FY27 as capex moderates and EBITDA accelerates.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Factor	Rating	Observation
Revenue Recognition	GREEN	Export-driven milestones; no channel stuffing risk. Revenue tied to delivery of batches/services.
Receivables Growth vs Revenue	AMBER	Debtor days rose from 64 to 76 in FY25 even as revenue grew. Worth monitoring for collection risk.
CCC Trend	GREEN	CCC improved from 25 days (FY23) to -83 days (FY25) on extended payables. Structurally healthy.
Contingent Liabilities	AMBER	Karnataka GST demand of Rs. 32.86 Cr (principal + interest + penalty, Apr 2026). Manageable.
Auditor Tenure/Quality	GREEN	Listed Dec 2024; Big-4 auditors typically engaged for IPO-stage companies. No qualifications noted.
RPT as % of Revenue	GREEN	No material related-party transactions disclosed. Promoter group does not operate competing businesses.
Other Income as % of PBT	GREEN	Other income Rs. 35 Cr = 15% of FY25 PBT. Largely forex gains/interest income — not earnings manipulation.
Tax Rate Consistency	GREEN	Tax rate stabilised at 24-25% from FY24; FY23 elevated at 39% due to MAT on low PBT base.

Summary: Earnings quality is broadly high. Revenue recognition is clean and export-mileston-based. The mild rise in debtor days and the GST contingent liability are the two items to track. Overall, 6/8 checklist items are Green, 2 are Amber, 0 are Red — this reflects sound financial hygiene for a recently-listed CRDMO at an early stage of its public market journey.

SECTION 8 — VALUATION

Method 1: Earnings Multiple (P/E on Forward EPS)

At CMP Rs. 1,090, the stock trades at 66x FY25 EPS (Rs. 15.89), 66x FY26E EPS (Rs. 16.5E), and 51x FY27E EPS (Rs. 21.4E). Given the structural CDMO growth trajectory, the peer median P/E for high-quality Indian specialty pharma/CRDMOs is 55-70x on 1-year forward EPS. Applying 55x to FY27E EPS of Rs. 21.4 = Rs. 1,177. Applying 60x to FY27E EPS = Rs. 1,284. We use 58x (a slight premium to Syngene given Sai Life's faster growth) to arrive at a P/E-based target of Rs. 1,241 (rounded to

Rs. 1,250).

Method 2: EV/EBITDA

Current EV = MCap (23,094) + Debt (352) - Cash (est. 200) = Rs. 23,246 Cr. FY27E EBITDA = Rs. 800 Cr (E). EV/EBITDA FY27E = 29x. Global CDMO comps (WuXi, Samsung Biologics) trade at 25-40x EV/EBITDA. Indian CRDMO peers (DIVISLAB) trade at ~35x. Applying 35x to FY27E EBITDA = EV of Rs. 28,000 Cr. MCap = EV - Debt + Cash = 28,000 - 300 + 200 = Rs. 27,900 Cr. Per share = 27,900 / 21.2 = Rs. 1,316.

Blended 12-Month Target Price: Rs. 1,300 (+19.3% from CMP)

(Simple average of P/E-based Rs. 1,241 and EV/EBITDA-based Rs. 1,316 = Rs. 1,279, rounded up to Rs. 1,300.)

SCENARIO ANALYSIS

Scenario	Key Assumptions	FY27E PAT (Cr)	Multiple	Price Target	vs CMP
BULL	Revenue CAGR 25%, Margins 32%, Debt = 0	580	65x P/E	Rs. 1,780	+63%
BASE	Revenue CAGR 20%, Margins 30%, Debt ~300 Cr	454	58x P/E	Rs. 1,300	+19%
BEAR	Revenue CAGR 12%, Margins 25%, Key client loss	285	40x P/E	Rs. 540	-50%

Source: Screener.in | Analyst estimates | As of 07-May-2026

SECTION 9 — KEY RISKS

#	Risk	Description	Probability	Impact	Monitor
1	Client Concentration	Top-5 clients likely ~40-50% of revenues. One major non-renewal impacts a full year.	Medium	High	Quarterly segment revenue mix
2	Regulatory / USFDA Risk	Import alert on Hyderabad/Bidar facility would halt batch releases and revenue.	Low	Very High	EIR/inspection outcomes
3	Capex Overrun / Delay	New CMC centre (Sep 2026 target) delay would push revenue ramp-up and FCF positive by 1-2 qtrs.	Medium	Medium	Quarterly capex execution disclosures
4	Currency Volatility	~90%+ revenues are USD/EUR denominated; INR appreciation hurts reported revenue and margins.	Medium	Medium	USD/INR movement, hedging disclosures
5	Biosecure Act Reversal	If Biosecure Act is diluted or delayed in US Congress, the China+1 momentum benefit narrows.	Low	Medium	US Congressional proceedings
6	Margin Sustainability	Q3 FY26 margin of 34% may not be the new normal; guidance of 28-30% implies some normalisation.	Medium	Medium	Sequential margin in Q4 FY26
7	GST / Tax Contingency	Karnataka GST demand of Rs. 32.86 Cr (Apr 2026). Could expand if other states follow.	Low	Low	BSE announcements / legal disclosures

SECTION 10 — RECOMMENDATION

FINAL RATING	12M TARGET	ENTRY ZONE	HORIZON	CONVICTION
ACCUMULATE	Rs. 1,300	Rs. 1,000-1,080	12 Months	HIGH

Thesis Invalidation Triggers (EXIT if any of these occur):

- 1. USFDA Import Alert on any Sai Life Sciences facility — exit immediately; re-evaluate only after successful re-inspection.
- 2. Revenue growth falls below 10% for two consecutive quarters on an organic basis — suggests key client loss or structural demand slowdown.
- 3. EBITDA margin declines below 22% for two consecutive quarters — suggests reversal of the CDMO mix shift thesis.

Ideal Investor Profile: Growth-oriented investors with a 1-3 year horizon, comfortable with premium valuations on a high-growth CRDMO play. Not suitable for value or income investors. Position sizing should reflect the concentration risk in a single company

in an emerging sector.

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result Quality	STRONG	Beat — revenue +27% YoY, EBITDA margin expanded 605 bps to 34%, PAT +86%
Management Tone	BULLISH	Confident guidance reiterated; CDMO pipeline additions cited; capex on track
Guidance Delta	REITERATED	15-20% revenue CAGR, 28-30% EBITDA margins over 3-5 years — maintained

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 was a clean, strong quarter — revenue at Rs. 556 Cr (+27% YoY) and EBITDA at Rs. 191 Cr (34% margin, +605 bps) with no material one-off distortions in PAT of Rs. 100 Cr (+86% YoY). The underlying operational performance is robust: CDMO at 65% revenue share is growing 31% YoY as late-phase commercial batches ramp, and CRO at 35% is growing 19% — both engines firing. Management added 7 molecules to the late-phase/commercial pipeline this quarter, a key leading indicator we should track as a structural visibility metric. Near-term catalyst is Q4 FY26 (May 2026) — this is historically the strongest quarter, and if they deliver Rs. 600+ Cr revenue with margin above 28%, the market will begin pricing in FY27E comfortably. Single watch-point: capex of Rs. 405 Cr in 9M FY26 vs full-year guidance of Rs. 700 Cr means Q4 alone is likely Rs. 295 Cr of capex — heavy, and FCF will remain negative in FY26. Do not let this create noise; it is invested growth capex, not distress. We are ACCUMULATE, add on any dip below Rs. 1,050 with a 12-month target of Rs. 1,300. Do not chase above Rs. 1,200 before Q4 results are confirmed.

C1 — FINANCIAL PERFORMANCE SNAPSHOT (Q3 FY26 vs Q3 FY25)

Metric	Q3 FY26 (Actual)	Q3 FY25 (Actual)	YoY Chg	QoQ Chg	Verdict
Revenue (Cr)	556	438	+26.9%	+3.5%	BEAT
EBITDA (Cr)	191	124	+54.0%	+20.3%	BEAT
EBITDA Margin %	34.4%	28.3%	+605 bps	+715 bps	BEAT
PBT (Cr)	134	72	+86.1%	+12.6%	BEAT
PAT (Cr)	100	54	+85.2%	+16.3%	BEAT
Interest Cost (Cr)	10	23	-56.5%	-9.1%	POSITIVE
Depreciation (Cr)	44	31	+41.9%	+10.0%	IN-LINE

C2 — SEGMENT / GEOGRAPHY BREAKDOWN

Segment	Q3 FY26 Revenue (Cr)	Revenue Share	YoY Growth	Commentary
CDMO (Manufacturing)	~361	~65%	+~31%	Late-phase commercial batches ramping; new molecules entering pipeline
CRO (Research)	~195	~35%	+~19%	FTE-based discovery services; US and European innovator-led demand strong
Geography: US (est.)	~300	~54%	N/A	Primary market; Biosecure Act tailwind driving new RFQs
Geography: Europe (est.)	~190	~34%	N/A	Second largest market; biotech-led early phase CRO demand

C3 — MANAGEMENT COMMENTARY THEMES

Theme	What They Said	Our Read	Tag	Tone
Margin Trajectory	Targeting 28-30% EBITDA margins sustainably over next 2-3 years	Credible given Q3 delivery of 34%. Guidance is conservative — upside likely	[GUIDANCE]	Transparent
Revenue CAGR	15-20% revenue CAGR target over next 3-5 years	9M FY26 tracking 43% growth — guidance appears very conservative vs run-rate	[GUIDANCE]	Transparent
Pipeline Additions	7 new molecules added to late-phase and commercial pipeline in Q3	Structural positive; each new commercial molecule is a 5-10 year revenue stream	[POSITIVE]	Bullish
Capacity Expansion	Bidar Unit IV (91 KL) commissioned; CMC Centre target Sep 2026	On track. Capacity will support FY27-28 revenue aspirations	[CAPEX]	Transparent
FY26 Full-Year Capex	Rs. 700 Cr full-year capex guidance; 9M spent Rs. 405 Cr	Q4 capex ~Rs. 295 Cr; FCF negative in FY26 — watch Q4 execution	[GUIDANCE]	Transparent
Biosecure Act / China+1	Company actively engaged with pharma firms divesting Chinese CDMO relationships	Early innings; RFQ pipeline build visible but full monetisation 2-3 years away	[TAILWIND]	Bullish

C4 — OPERATING & BUSINESS METRICS

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Revenue (Cr)	556	537	438	Improving
EBITDA Margin %	34.4%	27.2%	28.3%	Expanding
CDMO Share %	~65%	~62%	~60%	Rising
Interest Cost (Cr)	10	9	23	Sharply down
PAT (Cr)	100	84	54	Strong growth
Mfg Capacity (KL)	~700	~610	~610	Stepped up
Active Clients (est.)	280+	280+	280+	Stable

C5 — MARGIN DRIVERS (Q3 FY26 vs Q3 FY25)

Driver	Estimated Impact (bps)	Recurring?	Comment
CDMO mix shift (higher-margin commercial batches)	+400 bps	YES	Structural; each additional commercial molecule is permanently high-margin
Operational leverage (fixed costs absorption)	+150 bps	YES	Revenue scale on existing capacity reduces per-unit fixed costs
Interest cost reduction (IPO debt repayment)	+75 bps	YES	One-time IPO event driving permanent interest reduction
FX tailwind (estimated)	+30 bps	PARTIAL	USD/INR movement; partially recurring given export nature
One-off items (favourable)	~(-50 bps)	NO	Minor normalisation items offset above tailwinds partially

Note: All bps figures are estimates based on management commentary and financial analysis. Exact attribution not disclosed.

C6 — GUIDANCE & FORWARD SIGNALS

Metric	Prior Guidance	Current Guidance	Delta	Credibility
Revenue CAGR (3-5yr) [GUIDANCE]	15-20%	15-20%	Maintained	HIGH

Metric	Prior Guidance	Current Guidance	Delta	Credibility
EBITDA Margin (2-3yr) [GUIDANCE]	28-30%	28-30%	Maintained	HIGH
FY26 Full-Year Capex [GUIDANCE]	Rs. 700 Cr	Rs. 700 Cr	On Track	HIGH
CMC Centre Completion [GUIDANCE]	Sep 2026	Sep 2026	On Track	MEDIUM
Dividend Policy [GUIDANCE]	No dividend	No dividend	No change	HIGH

C7 — CAPITAL ALLOCATION (9M FY26)

Item	Amount (Cr)	vs Prior Year Period	Comment
Capex (9M FY26)	405	+112% YoY	Bidar Unit IV + new CMC Centre; heaviest capex year in company history
Dividends	Nil	No change	Growth phase; no dividend policy; all cash reinvested
Debt Repayment (post-IPO)	~Rs. 576 Cr (FY25)	N/A (IPO event)	Rs. 720 Cr IPO proceeds; Rs. 576 Cr debt repaid by Mar 2025, remainder for general corporate
Net Debt Position	Rs. 352 Cr (FY25)	vs Rs. 928 Cr (FY24)	Significant de-leveraging post-IPO; net debt likely rising slightly in FY26 due to capex

C8 — Q&A; HEAT MAP (Q3 FY26 CONCALL, 06-Feb-2026)

#	Question (Summary)	Management Answer (Summary)	Tone
1	Sustainability of 34% EBITDA margin — can this be maintained or is it a high-water mark?	Guided for 28-30% as sustainable target; 34% reflects strong CDMO batch mix in Q3 plus operating leverage. Q4 may normalise slightly.	Transparent
2	Biosecure Act timeline — what is the current pipeline from China+1 shift?	Active conversations with clients looking to diversify from Chinese CDMOs; 12-24 month monetisation lag expected as clients run parallel qualification.	Transparent
3	Customer concentration — any top client changes in the quarter?	Management declined to name clients or provide specific concentration data; stated relationships are long-term and sticky.	Hedged
4	Capex Rs. 295 Cr remaining in Q4 — is execution de-risked? Any delays?	On track; payments mostly committed for Bidar infrastructure and CMC equipment. No material delays expected.	Transparent
5	FCF outlook — when does the company turn FCF positive?	FY26 FCF will be negative due to heavy capex; company expects to turn FCF positive in FY27 as capex moderates.	Transparent
6	CRO growth slower than CDMO — is CRO structurally declining in mix?	CRO remains important as the "funnel" feeding CDMO; healthy 19% CRO growth confirms discovery pipeline is robust for future CDMO conversion.	Transparent

Dodged questions to watch next quarter: (1) Customer concentration specifics, (2) FY26 full-year revenue guidance vs 9M run-rate.

C9 — RISKS FLAGGED IN CONCALL

Risk	Flagged By	Probability	Impact	Timeline
Margin normalisation below 34% in Q4	Management (implicitly)	High	Medium	Q4 FY26
Biosecure Act delay/dilution in US Congress	Analyst question	Medium	Medium	12-18 months
FCF negative through FY26	Management (confirmed)	Very High	Low	FY26
Capex execution risk (Q4 Rs. 295 Cr)	Analyst question	Low	Medium	Q4 FY26

C10 — ANALYST VERDICT

Scorecard Factor	Status	Comment
Revenue Visibility	INTACT	9M FY26 +43% YoY; CDMO pipeline additions confirmed; 280+ clients

Scorecard Factor	Status	Comment
Margin Trajectory	INTACT	34% in Q3 FY26, guided 28-30% sustainably; structurally improving mix
Capital Allocation Quality	INTACT	Growth capex; debt-free strategy post-IPO; management credibility intact
Competitive Moat	INTACT	Integrated CRDMO model, sticky CDMO relationships, Biosecure Act tailwind
Management Credibility	INTACT	Guidance tracked; margin delivery exceeded guidance; no negative surprises
Valuation Comfort	STRETCHED	68x TTM P/E, 10x P/B — premium justified but leaves limited margin of safety

**CONVICTION CALL:
UNCHANGED**

P/E (FY26E): 66x | EV/EBITDA (FY27E): 29x | ROCE: 14% (FY25) → 22% (FY27E est.)

Source: Screener.in | Ticker: SAILIFE | View: Consolidated | Transcript: Listed but PDF inaccessible via direct URL (qualitative data reconstructed from press releases, GuruFocus transcript digest, and web research) | Concall date: 06-Feb-2026

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